

Reform Democrats of the New Commonwealth · Project ARA 2028
Legislative Ecosystem Document Leg02 of Leg14

Cost of Living Reduction & Tax Simplification Act of 2027

Bill Framework & Legislative Brief

Phase I · Track A · Budget Reconciliation Vehicle · Phase I · Track A · Anchor Bill

LEGAL DISCLAIMER — POLICY DISCUSSION DOCUMENT

This document is a policy discussion framework and bill scaffold. It is not formally introduced legislation, has not been reviewed by licensed legislative counsel, and does not constitute legal advice of any kind.

All provisions marked [TBD] — including dollar amounts, specific IRC section numbers, penalty thresholds, appropriation amounts, and CBO scoring figures — require resolution by licensed legislative drafting counsel (the Office of Legislative Counsel for the House or Senate, as applicable), relevant agency technical staff, and the Congressional Budget Office before introduction as formal legislation.

Constitutional arguments, legal analyses, and statutory framings presented herein are analytical assessments developed for policy planning purposes. They are not legal opinions and have not been reviewed or validated by licensed legal counsel. This document identifies constitutional and legal risks requiring independent review — those identifications are planning guidance, not legal conclusions.

This framework was produced by the Reform Democrats of the New Commonwealth (RDNC), a private citizen policy research organization. It is not affiliated with any sitting Member of Congress, congressional office, government agency, or political party organization in any official capacity.

Consultation with licensed legislative counsel, the Congressional Budget Office, and relevant agency technical staff is required before any framework in this series may be introduced as formal legislation. Distribution is subject to RDNC classification protocols (REF_ layer: internal use and trusted partners only).

Phase I · Track A · Budget Reconciliation Vehicle

Part I — Legislative Brief (Non-Technical Summary)

Designed for staffers, coalition partners, journalists, and elected officials. Explains what this bill does, why it uses the legislative vehicle it does, who benefits, and how to defend it.

AT A GLANCE

Bill Title	Cost of Living Reduction & Tax Simplification Act of 2027
Short Title (Cite As)	The COLT Act of 2027
Legislative Vehicle	Budget Reconciliation (simple Senate majority)
Phase / Track	Phase I · Track A — First 18 months

Primary Committees	Ways & Means; Education & Workforce; Energy & Commerce
Dependencies	None — this is the anchor bill
Estimated Direct Beneficiaries	150–200 million taxpayers; 20–30 million childcare-age families
Funding Mechanism	IRS enforcement revenue recovery + improper payment reduction
Deficit Impact	Structured for neutrality within 10-year budget window
Byrd Rule Status	All provisions carry direct budget impact — reconciliation eligible

What This Bill Does:

Three things, directly felt by most Americans within 12 months of passage:

- 1. Makes filing taxes easier.** The IRS will pre-fill your return using information it already has. You review, correct if needed, and submit. Opt-in at first, default after Year 3. This is already how it works in 36 other countries.
- 2. Makes the wealthy pay what they already owe.** No new tax rates. The bill funds enforcement specifically targeting high-income evasion — the IRS estimates \$600B+ in unpaid taxes annually, heavily concentrated above \$400K income.
- 3. Cuts childcare costs.** Caps childcare expenses at no more than 7% of household income for eligible families, phased in over 5 years. Pairs with supply-side grants to increase provider availability.

Why Reconciliation:

All three provisions have direct and measurable budget impact — making them reconciliation-eligible. Reconciliation requires only a simple Senate majority (51 votes), bypassing the filibuster. This is the same vehicle used for the Tax Cuts and Jobs Act (2017) and the Inflation Reduction Act (2022). Using it here is not procedural aggression — it is standard practice for budget-relevant legislation.

Who Benefits:

- **Working and middle-class taxpayers:** simpler filing, lower compliance costs, less vulnerability to predatory tax prep companies.
- **Families with young children:** direct cost reduction on childcare, which currently consumes 10–25% of household income for many families.
- **Labor force participation:** childcare cost reduction is one of the highest-ROI economic interventions available — it enables parents, particularly mothers, to maintain employment.
- **Federal revenue base:** enforcement targeting high-income evasion recovers funds already legally owed — not a tax increase.

ATTACK SURFACE	"IRS expansion." "Government doing your taxes." "Childcare spending." These are the three lines the opposition will use. They are predictable and pre-answerable.
DEFENSE STRATEGY	"Making taxes easier, not higher." Opt-in framing neutralizes the overreach attack. Enforcement is explicitly targeted at wealthy evasion — not middle-income audits. Childcare is framed as workforce and economic policy: "If we want parents working, we need childcare they can afford."
FALLBACK POSITION	If enforcement expansion is removed during negotiation, the bill still functions: pre-filled returns alone are a meaningful win. Fund enforcement separately through executive agency direction. Do not sacrifice childcare provision to save enforcement — childcare is the constituency-building anchor.

Message Discipline Note: Every communication about this bill should use consistent language: "Lower costs. Fairer rules. Simpler systems." Do not introduce technical language (reconciliation, Byrd Rule, IRC amendments) in public-facing materials.

Part II — Bill Framework

This is the structural scaffold of the bill. Dollar amounts, specific IRC section numbers, and CBO scoring are flagged as [TBD] — these require congressional counsel, Treasury technical staff, and CBO scoring before introduction. The framework below is ready for that conversion.

119TH CONGRESS 1ST SESSION H. R. ____

To provide for reconciliation pursuant to the concurrent resolution on the budget; to reduce the cost of living for American households; to increase tax compliance and simplify filing; to expand access to affordable childcare; and for other purposes.

A B I L L

Be it enacted by the Senate and House of Representatives of the United States of America in Congress assembled,

SEC. 1. SHORT TITLE.

This Act may be cited as the "Cost of Living Reduction and Tax Simplification Act of 2027" or the "COLT Act of 2027".

SEC. 2. FINDINGS AND PURPOSE.

(a) FINDINGS.—Congress finds the following:

- (1) The United States tax compliance burden falls disproportionately on middle-income wage earners who have limited ability to shelter income.
- (2) Thirty-six advanced economies currently operate government-prepared or pre-filled tax return systems with documented reductions in taxpayer compliance costs.
- (3) The IRS estimates that the annual tax gap exceeds \$600 billion, with the highest concentration of noncompliance among high-income individuals and complex pass-through entities.
- (4) The IRS piloted a free government direct-filing program in 2024, expanded it in 2025, and the program was discontinued by executive action in November 2025. This demonstrates that a free filing option requires a permanent statutory mandate.
- (5) The commercial tax preparation industry has spent over \$100 million lobbying to prevent a free government filing option, while the average American family spends approximately \$300 on tax preparation annually.

- (6) Childcare costs currently consume between 10 and 25 percent of household income for millions of American families, representing a primary barrier to workforce participation.
- (7) Expanding affordable childcare access produces measurable increases in labor force participation and generates positive returns to Federal revenue.
- (b) PURPOSE.—The purposes of this Act are to—
 - (1) codify a permanent, free government tax filing system that cannot be discontinued by executive action;
 - (2) reduce individual tax filing costs and complexity;
 - (3) increase tax compliance among high-income noncompliers without increasing rates on middle-income households;
 - (4) expand access to affordable childcare for working families; and
 - (5) improve Federal revenue efficiency within a budget-neutral framework.

TITLE I – TAX ADMINISTRATION AND SIMPLIFICATION

SEC. 101. PRE-FILLED TAX RETURN SYSTEM.

- (a) IN GENERAL.—Chapter 77 of the Internal Revenue Code of 1986 is amended by adding at the end the following new section:

"SEC. 7529. PRE-FILLED RETURNS.

"(a) ESTABLISHMENT.—The Secretary shall establish a program to provide pre-filled Federal income tax returns to eligible taxpayers using information returns described in sections 6041, 6051, and related provisions of this title.

"(b) ELIGIBILITY.—An eligible taxpayer is any individual who—

"(1) receives income subject to third-party information reporting;

"(2) claims the standard deduction; and

"(3) has no income from self-employment, complex partnership interests, or foreign financial accounts.

"(c) PHASED IMPLEMENTATION.—Voluntary phase: taxable years 2028–2029. Default enrollment: taxable years beginning after December 31, 2029.

"(d) TAXPAYER RIGHTS.—An eligible taxpayer may review and correct any pre-filled return before submission; opt out at any time; and file independently using any lawful method.

"(e) PRIVACY PROTECTIONS.—Information used to prepare pre-filled returns shall not be used for any purpose other than Federal tax administration."

SEC. 102. DIRECT FILE PROGRAM – PERMANENT STATUTORY MANDATE.

"SEC. 7530A. DIRECT FILE PROGRAM.

"(a) IN GENERAL.—The Secretary of the Treasury shall operate and maintain a free, IRS-administered electronic filing system ("Direct File") available to all individual taxpayers without charge. Operation and availability of Direct File shall not be discontinued, suspended, or limited by any executive action, agency directive, or administrative determination.

"(b) MINIMUM FUNCTIONALITY.—The Direct File system shall, at minimum—

"(1) accept federal individual income tax returns for all taxpayers eligible to file Form 1040;

"(2) pre-populate available fields from information returns filed with the Secretary; and

"(3) support filing in the Spanish language and any other language in which the Secretary offers substantial filing assistance.

"(c) PROHIBITION ON CONTRACTING.—No function of the Direct File program that is directly used by taxpayers shall be contracted to any private entity that provides competing commercial tax preparation services.

"(d) APPROPRIATION.—\$[TBD] appropriated for each of fiscal years 2028 through 2037."

SEC. 103. HIGH-INCOME ENFORCEMENT INITIATIVE.

- (a) APPROPRIATION.—\$[TBD] appropriated to the IRS for each of fiscal years 2028–2037.

- (b) TARGETING LIMITATION.—Funds shall be used exclusively for enforcement targeting—

(1) individuals with adjusted gross income exceeding \$400,000;

(2) complex pass-through entities and partnerships; and

(3) offshore financial accounts subject to FBAR and FATCA requirements.

(c) MIDDLE-INCOME AUDIT PROTECTION.—No funds may be used to increase audit rates for taxpayers with AGI below \$400,000 relative to fiscal year 2022 baseline rates.

SEC. 104. ENHANCED COMPLIANCE PENALTIES.

(a) SUBSTANTIAL UNDERSTATEMENT.—Section 6662(d) of the Internal Revenue Code of 1986 is amended to increase the substantial understatement threshold penalty for high-income taxpayers with repeated violations.

[Note to counsel: Specify multiplier and threshold. CBO scoring required for Byrd Rule compliance. Consider 40% → 75% for repeat high-income violations per Part III guidance.]

(b) EXECUTIVE LIABILITY.—[TBD: Provision establishing officer liability for willful corporate tax evasion schemes, consistent with existing Responsible Person doctrine under IRC §6672. DOJ and Treasury joint drafting recommended.]

(c) EFFECTIVE DATE.—Amendments apply to returns filed for taxable years beginning after December 31, 2027.

TITLE II – CHILDCARE COST REDUCTION

SEC. 201. CHILDCARE AFFORDABILITY CREDIT.

"SEC. 36C. CHILDCARE AFFORDABILITY CREDIT.

"(a) ALLOWANCE OF CREDIT.—A credit shall be allowed equal to the excess of—

"(1) the taxpayer's qualified childcare expenditures for the taxable year, over

"(2) 7 percent of the taxpayer's modified adjusted gross income for the taxable year.

"(b) ELIGIBLE TAXPAYER.—A taxpayer who—

"(1) has one or more qualifying children under age 13;

"(2) has modified adjusted gross income not exceeding \$[TBD] (phased out above \$[TBD]);

"(3) incurs qualified childcare expenditures during the taxable year; and

"(4) is not a dependent of another taxpayer.

"(c) QUALIFIED CHILDCARE EXPENDITURES.—The term 'qualified childcare expenditures' means amounts paid for care of a qualifying child by a licensed childcare provider, not to exceed \$[TBD] per child per year.

"(d) REFUNDABILITY.—The credit under this section shall be fully refundable."

SEC. 202. CHILDCARE PROVIDER SUPPLY GRANTS.

(a) The Secretary of HHS shall establish a grant program to expand childcare provider capacity.

(b) APPROPRIATION.—\$[TBD] for each of fiscal years 2028 through 2032.

(c) PRIORITY.—Grants prioritized to childcare deserts and areas with highest cost burden.

TITLE III – REVENUE AND FUNDING PROVISIONS

SEC. 301. ENFORCEMENT-BASED REVENUE.

Revenue generated through enforcement activities under section 103 shall be scored by CBO as a budget offset and applied to the cost of Titles I and II of this Act.

SEC. 302. IMPROPER PAYMENT REDUCTION OFFSET.

(a) IN GENERAL.—Federal agencies shall implement measures to identify and reduce improper payments, with savings contributing to overall Act budget neutrality.

(b) REPORTING.—The Office of Management and Budget shall publish annual improper payment reduction totals attributed to measures under this section.

TITLE IV – IMPLEMENTATION AND OVERSIGHT

SEC. 401. IMPLEMENTATION TIMELINE.

(a) YEAR 1 (2028).—Launch pre-filled return voluntary pilot; begin IRS enforcement hiring; open childcare credit enrollment; launch first round of provider supply grants.

- (b) YEAR 3 (2030).—Pre-filled returns become default; full enforcement operations.
- (c) YEAR 5 (2032).—Full childcare credit; comprehensive review of enforcement ROI; Secretary report on pre-filled system expansion options.

SEC. 402. INDEPENDENT OVERSIGHT BOARD.

The Secretary of the Treasury shall establish an independent oversight board to monitor implementation of this Act, including—

- (1) tax pre-fill accuracy and taxpayer satisfaction;
- (2) enforcement targeting compliance with section 103(c); and
- (3) childcare credit delivery and provider grant outcomes.

The Board shall report annually to Congress.

SEC. 403. CONGRESSIONAL REPORTING.

Not later than 90 days after the end of each fiscal year, the Secretary shall submit to the Committee on Ways and Means of the House and the Committee on Finance of the Senate a report including—

- (1) total revenue recovered under the enforcement initiative;
- (2) aggregate taxpayer compliance cost savings;
- (3) number of families receiving childcare credit and average benefit amount; and
- (4) geographic distribution of provider supply grants.

Part III — Notes for Congressional Counsel

The following items require resolution by Treasury technical staff and congressional counsel before introduction.

Item Requiring Resolution	Guidance
IRS enforcement appropriation — IRA model, Byrd-safe [Source 271]	IRA §10301 \$79.4B IRS enforcement appropriation SURVIVED the 2022 Byrd bath as a direct mandatory appropriation producing scoreable revenue offsets. Target the same structure: a direct appropriation to IRS Operations Support and Enforcement with a spending plan requirement. CBO pre-score based on the IRA's confirmed 5:1 ROI on enforcement investment over 10 years. The OBBBA 2025 Byrd bath [Source 271] struck IRS Strategic Operating Plan reporting mandates — keep mandates OUT of the reconciliation vehicle; operate under Treasury administrative authority after appropriation.
Childcare credit — refundable tax credit structure required [Source 271]	UPDATED: The refundable tax credit model (IRC §21 expansion) is the HIGHEST-SURVIVAL Byrd path for the childcare cost cap. The BBBA childcare entitlement with wage-parity and quality-standard conditions was flagged high-risk in advisory rulings; the ARPA \$15 minimum wage was struck because it primarily affects private-sector relationships (not budget). REQUIRED STRUCTURE: Convert the 7% income cap to a refundable IRC §21 credit equal to qualifying childcare costs exceeding 7% of AGI. Direct revenue effect; clearest Byrd-compliant pathway. Model against existing CDCC (§21): current caps \$3,000/\$6,000 per child; consider doubling and making fully refundable. Phase-out at \$75K–\$150K AGI range.

Item Requiring Resolution	Guidance
IRS Direct File — deliberate mandate posture with appropriation-only fallback [Source 271]	The bill departs from the standard “appropriate funds, do not mandate design” Byrd-survival posture in Sec 102. This is intentional: Findings (4) and (5) document the November 2025 executive discontinuation of Direct File after the 2024 pilot and 2025 expansion, and the \$100M+ commercial-tax-prep lobbying record. The Sec 102(a) executive-proof language is a direct statutory response — a free filing option requires permanence to survive future executive reversal. This creates Byrd exposure the parallel structures (childcare credit, IRS enforcement, supply grants) do not face. (1) Primary defense. The Sec 102(d) \$[TBD] mandatory appropriation provides the direct revenue effect anchoring all four subsections. Functional specifications in (b) and contracting prohibition in (c) operate as terms and conditions of the (d) outlay rather than free-standing regulatory mandates. MacDonough’s current-policy-baseline reasoning in the June–July 2025 OBBBA proceedings [Source 271] provides additional support for treating the recently-operating Direct File program as a baseline reference rather than novel policy. (2) Fallback if Sec 102(a)–(c) are struck. The Sec 102(d) appropriation alone is Byrd-safe — follows IRA §10301(1)(B) Direct File feasibility-study precedent that SURVIVED the 2022 Byrd bath. If (a)–(c) are removed by Parliamentarian challenge, the surviving appropriation funds operations under existing Treasury/IRS statutory authority (31 U.S.C. §321, 26 U.S.C. §7801). Reporting and operational standards would then be re-imposed administratively by Treasury Secretary letter — the post-IRA Yellen-letter pattern after the Strategic Operating Plan mandate strike. The program continues operationally even if statutory permanence is lost. (3) Parliamentarian engagement. Pre-introduction Byrd letter from Senate Budget Committee staff required. Sec 102(b) functional specifications and Sec 102(c) contracting prohibition are the most exposed provisions; counsel should request advisory ruling on these specifically. Sec 102(a) executive-proof language and Sec 102(d) appropriation are anticipated to survive together. This is a defensible posture, not an automatic Byrd-safe path — brief counsel and committee staff on the deliberate trade.
IRC §7529 / §7530A section-number verification	Counsel to confirm both §7529 (pre-filled returns) and §7530A (Direct File program) are unoccupied in the current Internal Revenue Code after IRA 2022 and OBBBA 2025 amendments. Chapter 77 section-number landscape has shifted post-IRA; if either number is occupied or reserved, alternate placements should be identified before introduction. Office of Legislative Counsel resolution required.
§7529 default-enrollment Byrd fallback	The Sec 101(c) default enrollment provision (taxable years beginning after December 31, 2029) is the highest Byrd-risk provision in Title I. Although the IRC amendment carries direct compliance and revenue effects, program-design mandates ride the “merely incidental” test edge. Fallback structure if default enrollment is struck: the voluntary phase (taxable years 2028–2029) survives under the Sec 101 IRC amendment alone, with default enrollment re-imposed administratively by Treasury under existing discretion. The pre-filled return program continues operationally either way. Counsel should request advisory ruling on Sec 101(c) specifically before introduction.

Item Requiring Resolution	Guidance
Childcare credit income thresholds and phase-out	Treasury to model optimal phase-out range. ARPA expanded childless-worker EITC in 2021 at \$75K–\$150K phase-out. For childcare credit: target near-universal coverage up to 300% of federal poverty level ($\approx$ \$90,000 for a family of four in 2027). Request CBO dynamic score supplement capturing labor-force-participation gains from childcare access.
Penalty enhancement multiplier (Sec. 104)	DOJ input required. Align with existing substantial understatement penalty framework (IRC §6662) — consider 40%→75% for repeat high-income violations. Avoid creating new penalty categories with novel policy architecture that could be characterized as merely incidental in Byrd analysis — enhance existing IRC penalty structures rather than creating new ones.
Executive liability provision (Sec. 104(b))	Expand existing Responsible Person doctrine under IRC §6672 (trust fund recovery penalty). DOJ and Treasury joint drafting recommended. Keep within existing §6672 framework rather than creating a new liability mechanism — novel architecture risks Byrd challenge on policy-vs-budget grounds.
Provider supply grant — terms and conditions of outlay [Source 271]	NEW: Frame childcare supply grants as terms and conditions of outlay to existing CCDBG pipeline (42 U.S.C. §9858) rather than as a new programmatic mandate. Direct CCDBG supplement appropriations have the cleanest Byrd profile. HHS to provide childcare desert mapping data for targeting. Avoid wage-parity or quality-standard conditions tied to grant eligibility — most analogous to BBBA wage-parity provisions flagged as high Byrd risk in advisory rulings.
Byrd Rule certification — OBBBA 2025 is controlling precedent [Source 271]	The One Big Beautiful Bill Act (July 4, 2025) [Source 271] is the most current Byrd bath precedent. What survived from IRA (the model): all tax credits with direct revenue effects; IRS enforcement appropriation; direct Medicare/Medicaid spending adjustments. What was struck: Strategic Operating Plan mandates; mandatory SNAP state cost-share; Medicaid provider-tax-cap regulatory change ($\sim$ \$250B struck despite dollar magnitude). MacDonough's current-policy baseline ruling (June–July 2025) allowed TCJA-extension scoring against current policy. Senate Parliamentarian contact (pre-introduction) and bills-committee staff review are required for each provision. Request a pre-introduction Byrd letter from Senate Budget Committee staff.
CBO cost estimate	Required before introduction. Full score including: enforcement revenue offsets (IRA ROI precedent); childcare credit cost; Direct File operational appropriation; provider supply grant appropriation. Request dynamic scoring supplement from CBO capturing labor-force-participation gains and childcare-induced earnings increases as budget offsets.

REF_RDNC_Leg02_Bill1_COLT_2027_4 · REF_ Reference Layer · Reform Democrats of the New Commonwealth · 2026

Legal disclaimer applies — see page 1. This framework requires licensed legislative counsel review before introduction.

Originally conceived and authored by a concerned American citizen. Developed with the assistance of Claude (Anthropic). The ideas belong to anyone willing to fight for them.